

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2020	Bank		Group Consolidated			
	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)
A. ASSETS						
1 Cash balances (both local and foreign)	426,040	558,941	657,564	426,040	558,941	657,564
2 Balances due from Central Bank of Kenya	2,079,232	2,287,778	2,203,914	2,079,232	2,287,778	2,203,914
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5 Investment Securities:						
a) Held to Maturity:	591,117	427,125	565,986	591,117	427,125	565,986
a. Kenya Government securities	591,117	427,125	565,986	591,117	427,125	565,986
b. Other securities	-	-	-	-	-	-
b) Available for sale:	3,022,567	4,175,744	4,467,417	3,022,567	4,175,744	4,467,417
a. Kenya Government securities	3,022,567	4,175,744	4,467,417	3,022,567	4,175,744	4,467,417
b. Other securities	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	1,221,604	870,481	837,016	1,221,604	870,481	837,016
7 Deposits and balances due from banking institutions abroad	108,846	69,046	147,779	108,846	69,046	147,779
8 Tax recoverable	185,772	62,768	56,136	324,325	151,220	150,790
9 Loans and advances to customers (net)	43,307,899	39,934,816	39,574,392	41,986,011	38,551,968	38,407,721
10 Balances due from banking institutions in the group	-	-	-	-	227,770	-
11 Investments in associates	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-
13 Investment in joint ventures	236,627	242,379	242,379	1,692,170	1,731,214	1,731,213
14 Investment properties	-	538,064	540,472	-	1,256,768	1,255,410
15 Property and equipment	1,301,188	1,804,812	1,768,519	2,036,999	1,853,530	1,816,835
16 Prepaid operating lease rentals	37,898	37,551	37,436	43,123	-	-
17 Intangible assets	960,204	862,437	828,345	961,044	863,505	829,353
18 Deferred tax asset	835,244	1,012,883	1,026,089	974,938	1,216,715	1,228,988
19 Retirement benefit asset	-	-	-	-	-	-
20 Other assets	891,493	1,647,064	2,015,893	3,611,530	2,213,113	2,330,339
21 TOTAL ASSETS	55,205,731	54,531,890	54,969,337	59,079,545	56,454,918	56,630,325
B. LIABILITIES						
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-
23 Customer deposits	34,133,142	37,476,110	38,123,482	33,994,621	37,399,987	37,990,485
24 Deposits and balances due to local banking institutions	122,460	528,250	673,920	122,460	528,250	673,920
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	11,127,399	5,803,723	5,807,116	13,019,476	5,803,723	5,833,801
28 Balances due to banking institutions in the group	-	-	-	-	-	-
29 Tax payable	-	-	-	3	-	-
30 Dividends payable	-	-	-	20,256	3,100	4,980
31 Deferred tax liability	-	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-	-
33 Other liabilities	658,163	1,571,403	1,227,186	1,657,710	2,477,638	1,910,078
34 TOTAL LIABILITIES	46,041,164	45,379,486	45,831,704	48,814,526	46,212,698	46,413,264
C. SHAREHOLDERS' FUNDS						
35 Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512
37 Revaluation reserves	180,440	180,440	180,440	881,903	881,903	881,903
38 Retained earnings/ Accumulated losses	(1,846,360)	(2,308,522)	(2,706,488)	825,947	307,903	(106,737)
39 Statutory loan loss reserves	2,245,403	2,668,069	3,082,076	2,245,403	2,668,069	3,082,076
40 Other Reserves	20,672	48,005	17,193	(5,567)	67,012	42,486
41 Proposed dividends	-	-	-	-	-	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	9,164,567	9,152,404	9,137,633	10,265,019	10,242,220	10,217,061
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	55,205,731	54,531,890	54,969,337	59,079,545	56,454,918	56,630,325

II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2020	Bank		Group Consolidated			
	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)
1 INTEREST INCOME						
1.1 Loans and advances	1,253,587	4,678,689	1,118,546	1,253,587	4,678,689	1,118,546
1.2 Government securities	91,233	419,374	113,650	91,233	419,374	113,650
1.3 Deposits and placements with banking institutions	5,894	18,517	12,644	5,894	18,517	12,644
1.4 Other Interest Income	-	-	-	-	-	-
1.5 Total interest income	1,350,714	5,116,580	1,244,840	1,350,714	5,116,580	1,244,840
2 INTEREST EXPENSES						
2.1 Customer deposits	460,938	1,787,622	488,013	460,938	1,787,622	488,013
2.2 Deposits and placement from banking institutions	19,742	99,171	28,145	19,742	99,171	28,145
2.3 Other interest expenses	279,480	976,819	111,555	359,268	1,262,076	147,970
2.4 Total interest expenses	760,160	2,863,612	627,713	839,948	3,148,869	664,128
3 NET INTEREST INCOME/(LOSS)	590,554	2,252,968	617,127	510,766	1,967,711	580,712
4 OTHER OPERATING INCOME						
4.1 Fees and commissions on loans and advances	64,072	183,640	24,442	64,072	183,640	24,442
4.2 Other fees and commissions	50,399	163,631	51,769	60,977	226,856	95,961
4.3 Foreign exchange trading income/(Loss)	6,298	50,151	18,807	6,298	50,151	18,807
4.4 Dividend Income	-	-	-	-	-	-
4.5 Other income	11,682	119,164	23,961	127,378	942,555	114,297
4.6 Total Non-interest income	132,451	516,586	118,979	258,725	1,403,202	253,507
5 TOTAL OPERATING INCOME	723,005	2,769,554	736,106	769,491	3,370,913	834,219
6 OPERATING EXPENSES						
6.1 Loan loss provision	179,706	351,194	137,642	179,706	350,441	137,642
6.2 Staff costs	201,123	924,350	219,158	255,018	1,078,236	256,335
6.3 Directors' emoluments	3,316	7,806	2,883	3,680	12,174	6,324
6.4 Rental charges	28,659	135,680	31,920	28,659	185,684	31,920
6.5 Depreciation charge on property and equipment	39,232	159,659	42,735	43,322	174,869	46,790
6.6 Amortisation charges	51,410	211,689	54,334	51,444	211,918	54,394
6.7 Other operating expenses	265,592	1,002,661	224,518	365,315	1,497,521	293,785
6.8 Total Other Operating Expenses	769,038	2,793,039	713,190	927,144	3,510,843	827,190
7 Profit/(loss) before tax and exceptional items	(46,033)	(23,485)	22,916	(157,653)	(139,930)	7,029
8 Exceptional items	-	5,752	-	-	2,128	-
9 Profit/(loss) after exceptional items	(46,033)	(17,733)	22,916	(157,653)	(137,802)	7,029
10 Current tax	-	(125,897)	(6,875)	(641)	(186,325)	(7,662)
11 Deferred tax	-	149,978	-	-	214,019	-
12 Profit/(loss) after tax and exceptional items	(46,033)	6,348	16,041	(158,294)	(110,108)	(633)
13 Other Comprehensive Income						
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	65,200	104,247	(44,017)	65,200	104,247	(44,017)
13.3 Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(19,560)	(31,274)	13,205	(19,560)	(31,274)	13,205
14 Other Comprehensive Income for the year net of tax	45,640	72,973	(30,812)	45,640	72,973	(30,812)
15 Total comprehensive income for the year	(393)	79,321	(14,771)	(112,654)	(37,134)	(31,445)
Earnings per share	(36.83)	1.27	12.83	(1.65)	(0.29)	(0.01)
Dividend per share	-	-	-	-	-	-

			Bank		Group Consolidated		
III	DISCLOSURES AS AT 31 MARCH 2020	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	31.12.2019 Audited (Ksh'000)	31.03.2020 UnAudited (Ksh'000)
1	Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	12,968,197	12,316,003	12,221,552	12,968,197	12,316,003	12,221,552
b)	Less: Interest in Suspense	2,673,324	3,231,455	3,433,379	2,673,324	3,231,455	3,433,379
c)	Total non-Performing loans and advances (a-b)	10,294,872	9,084,548	8,788,173	10,294,872	9,084,548	8,788,173
d)	Less: Loan loss provisions	2,488,850	2,655,962	2,942,626	2,488,850	2,655,962	2,942,626
e)	Net non-performing loans and advances(c-d)	7,806,022	6,428,586	5,845,547	7,806,022	6,428,586	5,845,547
f)	Discounted value of securities	7,806,022	6,428,586	5,845,547	7,806,022	6,428,586	5,845,547
g)	Net Exposure(e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	1,497,959	1,411,487	1,393,236	1,497,959	1,411,487	1,393,236
b)	Employees	847,248	814,148	849,711	847,248	814,148	849,711
c)	Total Insider Loans and Advances	2,345,206	2,225,635	2,242,947	2,345,206	2,225,635	2,242,947
3	Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	173,192	91,942	111,973	173,192	91,942	111,973
b)	Forwards, swaps and options	809,700	1,237,700	1,333,600	809,700	1,237,700	1,333,600
c)	Other contingent liabilities	-	-	-	-	-	-
c)	Total contingent liabilities	982,892	1,329,642	1,445,573	982,892	1,329,642	1,445,573
4	Capital Strength						
a)	Core capital	6,498,789	5,812,771	5,353,783	6,888,396	6,015,220	5,546,843
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	5,498,789	4,812,771	4,353,783	5,888,396	5,015,220	4,546,843
d)	Supplementary capital	620,310	558,493	555,390	620,310	558,493	555,390
e)	Total capital (a+d)	7,119,099	6,371,264	5,909,173	7,508,707	6,573,713	6,102,233
f)	Total risk weighted assets	45,724,837	44,679,426	44,431,678	50,431,983	45,152,456	44,603,832
g)	Core capital / Total deposit liabilities	18.97%	15.30%	13.80%	20.19%	15.86%	14.35%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	10.97%	7.30%	5.80%	12.19%	7.86%	6.35%
j)	Core capital / Total risk weighted assets	14.21%	13.01%	12.05%	13.66%	13.33%	12.44%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency(-)	3.71%	2.51%	1.55%	3.16%	2.83%	1.94%
m)	Total capital / Total risk weighted assets	15.57%	14.26%	13.30%	14.89%	14.57%	13.68%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency(m-n)	1.07%	-0.24%	-1.20%	0.39%	0.06%	-0.82%
p)	Adjusted Core Capital/Total Deposit Liabilities*	19.40%	15.50%	13.90%			
q)	Adjusted Core Capital/Total Risk Weighted Assets*	14.50%	13.20%	12.20%			
r)	Adjusted Total Capital/Total Risk Weighted Assets*	15.90%	14.50%	13.40%			
5	Liquidity						
a)	Liquidity Ratio	20.84%	20.80%	21.30%	20.84%	20.80%	21.30%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess/Deficiency (-)	0.84%	0.80%	1.30%	0.84%	0.80%	1.30%